unemployment, and interest rates, and there would be such an expansion of economic activity that in the end there would be a net increase in the amount of revenue to finance the important functions of government.

Excessive tax *rates* were at the heart of the problem. Back in the fourteenth century, a Muslim philosopher named Ibn Khaldoon wrote something about taxes in ancient Egypt: “At the beginning of the dynasty taxation yields a large revenue from small assessments. At the end of the dynasty, taxation yields a small revenue from large assessments.” In other words, when rates were low, the revenue was great; when rates were high, the revenue was low.

During the 1980 campaign, a new term, *supply-side economics*, came into vogue. People said I embraced this theory, and several economists claimed credit for inventing its principles, which they said I had then adopted as the basis for my economic recovery program.

To set the record straight, that wasn’t true.

At Eureka College, my major was economics, but I think my own experience with our tax laws in Hollywood probably taught me more about practical economic theory than I ever learned in a classroom or from an economist, and my views on tax reform did not spring from what people called supply-side economics.

At the peak of my career at Warner Bros., I was in the ninety-four percent tax bracket; that meant that after a certain point, I received only six cents of each dollar I earned and the government got the rest. The IRS took such a big chunk of my earnings that after a while I began asking myself whether it was worth it to keep on taking work. Something was wrong with a system like that: When you have to give up such a large percentage of your income in taxes, incentive to work goes down. You don’t say, “I’ve got to do more pictures,” you say, “I’m not gonna work for six cents on the dollar.” If I decided to do one less picture, that